

THE RACE FOR THE \$100 PC

The low-cost PC is finally here, and from a homegrown technology company, which seeks to sell computing as a service, not a device. The big question is whether consumers will bite the bullet.



■ By Malini Bhupta

It is a global race downhill to produce the sub-\$100 computer. Low-cost though is the big idea in hardware. Whoever busts the barrier first gets a shy at what could be the biggest growth segment in computers. To get a sense of this, just take a look at another segment—TV. Priced between Rs 7,000 and Rs 9,000, as many as 48 lakh colour TVs in the 21-inch category were sold in India in 2006-07. Similarly, computers, once they enter the sub-Rs 10,000 category, are expected to take the hinterland by storm. For scores who have been waiting for this very eventuality, solutions have come calling sooner than later.

Till six months ago, 13-year-old

Sivagana Selvi had to frequent the neighbourhood cyber café in Chennai to chat online with her friends and send e-mails. But ever since her parents have subscribed to a new computing service, called NetPC, she no longer has to trek to the cyber café. This concept personal computer allows her to do pretty much everything that she could do at the cyber café.

Besides Selvi's, 70 other homes in Chennai and a handful in Delhi are wired through their low-cost PCs, which look like any other desktops but cost only Rs 4,500 and come without the hassles of a regular PC or notebook. Novatium, a company founded by serial entrepreneur Rajesh Jain and Ray Stata, founder and chairman of Analog Devices, is attempting to redefine computing in India by providing it as a serv-

ice and not as a mere box. This device comes bundled with Internet access and relevant Microsoft suite.

Not only are startups like Novatium drawn by the opportunity of connecting a billion people through PC, but technology giants like Microsoft and Intel are also trying different low-cost formats to tap the huge opportunity. The MIT Media Lab had developed a \$100 laptop for the Indian market last year. But, the Indian government rejected it as the product was a failure even in the US. Technology players are working on products more suited to the Indian environment because even years after the personal computer entered India, its total installed base is a meagre 220 lakh, which includes both home and commercial users. Since only 65 lakh homes in India have a PC, there is only